

Gratuity 1972 and Maternity Benefit 1961 - The Foundation Track

Chapter F3.7 — From Zero: The Long-Service Terminal Payment, and Why Gratuity Answers None of the ILO's Nine Contingencies

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NOTE · HOW TO USE THIS DOCUMENT

The Payment of Gratuity Act 1972 taken in full, and the Maternity Benefit Act 1961 in cross-referenced outline (F2.8 covers it substantively, and this chapter deliberately does not repeat it). The chapter covers coverage of the Gratuity Act at 10 employees; the 5-year continuous-service condition and its exceptions on death and disablement; the formula (15 days' wages for every completed year, with 26 as the divisor in the seasonal and other Act cases and 15 divided by 26 for others); the maximum of Rs 20 lakh; the wage definition (basic plus DA, no other allowances); nomination; forfeiture on riotous or violent conduct causing damage or on conviction of an offence involving moral turpitude committed in the course of employment; the machinery of the Controlling Authority and the appellate authority; and the crucial point already made in F3.1 that gratuity is EMPLOYER LIABILITY with no fund behind it, is a long-service TERMINAL payment rather than insurance, and answers NONE of the ILO's nine contingencies. The maternity outline restates from F2.8 the 26-week duration, the 80-day qualifying period, the ESI non-stacking rule and the reason maternity sits in Module 2 rather than here. Study time 2 hours 30 minutes.

This is the FOUNDATION layer. Section numbers, the 5-year condition, the wage definition, the divisor of 26 and the Rs 20 lakh maximum are settled by statute and notification. Where the Code on Social Security 2020 rennumbers or consolidates provisions the substance is preserved, and only substantive changes are marked CONFIRM. The Maternity Benefit Act is deliberately outlined here rather than treated in full - the full treatment is at Chapter F2.8.

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0. Two Statutes, One Architecture

Both are employer-liability statutes with no fund behind them. Both were absorbed into the Social Security Code 2020. And one of them is not really social security at all.

WHY THIS EXISTS · WHY GRATUITY IS IN MODULE 3 DESPITE NOT BEING SOCIAL SECURITY

Recall from F3.1 that **gratuity answers NONE of the ILO's nine contingencies**. So a strict reading of Module 3's syllabus would leave the Payment of Gratuity Act out.

Two reasons it is here anyway, and one is more important than the other.

- 1 **The Code on Social Security 2020 CONSOLIDATED it** as one of its nine Acts. So whatever the doctrinal position, the examiner treats it as social security, and the syllabus follows the consolidation
 - 2 **More important: it is EMPLOYER LIABILITY, and the same weakness that F3.1 named applies.** Gratuity is a terminal payment computed by formula, paid by the employer, with **no fund behind it**. If the employer is insolvent when the worker retires, the gratuity fails - **unless the employer had voluntarily bought a group gratuity policy or provided for it in his accounts**. That risk profile is the same as under the Employees' Compensation Act 1923, and it is the pedagogical point Module 3 needs to make once, since the ILO framework did not
- Note the corollary, which is a good interview point.** Most large employers **voluntarily fund gratuity** by buying a group gratuity assurance from LIC or a private insurer, or by setting up an approved gratuity trust. **The market thus creates, on its own initiative, the insurance layer the statute does not require.** That is not a coincidence: accountants class gratuity as a **defined-benefit obligation** (F3.1 taught this) and require it to be actuarially valued, so an unfunded liability shows up as a growing item on the balance sheet, and the market fixes what the statute did not.

STUDY SESSION · CHAPTER F3.7 - THE FOUR SESSIONS

- 1 **Session 1** - Gratuity: coverage, 5-year condition, and the formula (Section 1)
- 2 **Session 2** - Gratuity: nomination, forfeiture, and machinery (Section 2)
- 3 **Session 3 - The maternity outline:** what you need for the paper from F2.8 (Section 3)
- 4 **Session 4** - Comparison with the other employer-liability statutes (Section 4)

Then **40 graded questions**. Budget **four sessions**, about **a day and a half**. This is a lighter chapter than the last two - gratuity has one formula and two exceptions, maternity is a cross-reference, and the treatment matches.

1. Session 1 - Gratuity: Coverage and the Formula



MUST MASTER · COVERAGE - SECTION 1(3)

The Act applies to:

- 1 Every **factory, mine, oilfield, plantation, port and railway company**
- 2 Every **shop or establishment** in which **10 or more persons are employed** on any day in the preceding twelve months
- 3 Such other establishments in which 10 or more persons are employed, as the Central Government may specify

Note THE THRESHOLD IS 10, not 20. Same as ESI, same as Maternity Benefit, and different from EPF at 20. **The commonest question in this territory tests whether you can keep the threshold table straight**, and the pattern to hold is:

- 1 **EPF - 20**
- 2 **ESI - 10**
- 3 **Gratuity - 10**
- 4 **Maternity - 10**
- 5 **Employees' Compensation - 1 (no threshold)**

Once covered, ALWAYS COVERED. Like EPF's s.1(5), the Gratuity Act continues to apply to an establishment even if the number of employees later falls below 10. This is a general feature of Indian labour and social security statutes and needs no separate justification.

MUST MASTER · S.4 - THE 5-YEAR CONDITION AND ITS EXCEPTIONS

Gratuity is payable on the termination of employment **after not less than 5 YEARS' continuous service**, on:

- 1 **Superannuation**
- 2 **Retirement or resignation**
- 3 **Death or disablement due to accident or disease**

The 5-year rule is subject to two exceptions that both cut against it, and both are examinable:

- 1 **Death and disablement.** The 5-year condition **does NOT apply** in the case of termination by **death or disablement** due to accident or disease. A worker who dies in his second year of employment has his gratuity paid to his nominee - as if the 5-year vesting were satisfied - **because the risk being insured against is different.** Death interrupts the earning capacity in the same way whether it happens in year two or year twenty
- 2 **Continuous service** includes not merely uninterrupted service but service treated as continuous under the Act - which counts periods of authorised leave, lay-off, strikes not caused by illegal action of the employee, cessation of work not caused by the employee's fault, and maternity leave

A separate rule for FIXED-TERM EMPLOYEES was inserted by the Industrial Relations Code and applied by executive notification: a fixed-term employee is entitled to gratuity ON COMPLETION OF ONE YEAR of service, prorated. Recall this from F2.4 - the special deal for fixed-term employees to level the playing field with permanent employees. The 5-year rule does not apply to them.

MUST MASTER · S.4(2) - THE FORMULA, AND ITS TWO VARIANTS

For every completed year of service, or part thereof in excess of six months, the employee is entitled to gratuity at the rate of FIFTEEN DAYS' WAGES on the wages last drawn.

The formula, in its ordinary form:

Gratuity = (Last drawn monthly wages / 26) × 15 × completed years of service

The **26** is the deemed number of working days in a month (a six-day week for 52 weeks yields 312 working days, and 312 divided by 12 is 26). The **15** is 15 days' wages per completed year. So the ratio **15/26** is the fraction of a month's wages payable for each year.

Two variants worth naming:

- 1 For a **SEASONAL** establishment, the formula uses **7 days' wages** per season rather than 15 days per year
- 2 For an employee **NOT COVERED under the ordinary formula** (some categories under the Model Standing Orders and specific establishments), the divisor of 26 is replaced by 30 in some earlier constructions - the current position, that 15/26 applies for the generality of covered employees, is settled

"Wages last drawn" means basic wages plus dearness allowance. **HRA, bonus, overtime, commission and the cash value of any food concession are NOT included** - the same shape as the EPF s.2(b) exclusions, and for the same reason: the base for a statutory formula is the stable core of the wage.

THE MAXIMUM. Since the 2018 amendment and the 2019 Central Government notification, the maximum gratuity payable under the Act is **Rs 20 LAKH** (raised from Rs 10 lakh). This is the number to know. Where the formula yields more than Rs 20 lakh, the amount is capped at Rs 20 lakh.

Some employers pay more than the statutory maximum. The Act permits **payment of a better gratuity under a contract or an award**; the maximum is a **statutory minimum for the Act's protection**, not a bar on higher payments made voluntarily.

WORKED EXAMPLE · GRATUITY COMPUTED

Facts. An employee retires at superannuation after **22 years and 8 months** of continuous service. His last-drawn basic wages are Rs 40,000 and dearness allowance Rs 10,000. He is not a seasonal employee.

Step 1 - completed years. 22 years and 8 months. The **8 months exceeds six months, so it rounds UP to a completed year.** Years for the formula = **23**.

Step 2 - wages last drawn. Basic Rs 40,000 + DA Rs 10,000 = **Rs 50,000**. HRA and other allowances are excluded.

Step 3 - apply the formula. Gratuity = $(50,000 / 26) \times 15 \times 23 = 1,923.08$ (approximately) $\times 15 \times 23 = 28,846.15 \times 23 =$ **Rs 6,63,462** (to the nearest rupee)

Step 4 - compare with the maximum. Rs 6,63,462 is below Rs 20 lakh, so the formula amount stands.

Answer: Rs 6,63,462.

Two traps this example is built to expose:

- 1 **The "part thereof in excess of six months" rule.** 22 years and 8 months rounds up to 23; **22 years and 6 months would NOT** (it must be *in excess of* six months, so exactly six months does not round up - the same convention as retrenchment compensation under the ID Act, taught in F2.3)
- 2 **Including HRA in the base.** If HRA of Rs 20,000 were added, the wage would be Rs 70,000, the answer Rs 9,28,846, and the mistake would be undetectable to the candidate who forgets the definition

Compare with what would have happened under the OLD Rs 10 lakh cap: the formula amount is under the maximum in this example, so the cap does not bite. But at higher wages or longer service the cap becomes decisive. **A worker earning Rs 1,00,000 who retires after 35 years yields $(1,00,000/26) \times 15 \times 35 =$ Rs 20,19,231 - just over the Rs 20 lakh cap, and paid only Rs 20 lakh.**

CHECK YOURSELF · SESSION 1

- 1 What is the coverage threshold, and how does it compare with EPF, ESI and Maternity?
- 2 State the 5-year condition. Name its two exceptions
- 3 Under what rule is a fixed-term employee entitled to gratuity in less than 5 years?
- 4 Write the formula and explain what 15 and 26 stand for
- 5 State the seasonal variant
- 6 Define "wages last drawn". Which items are excluded?
- 7 What is the statutory maximum? Since when? Where is a higher payment allowed?
- 8 Compute the gratuity for a Rs 50,000 basic + DA wage after 22 years 8 months
- 9 Which trap does the rounding rule create?

2. Session 2 - Nomination, Forfeiture, Machinery



MUST MASTER · S.6 - NOMINATION, S.4(6) - FORFEITURE

NOMINATION - s.6. An employee **who has completed one year of service** must make a nomination for the amount of gratuity payable on his death.

- 1 Where the employee has a family, the nomination must be **in favour of one or more members of his family**. A nomination in favour of any other person is **invalid** while a family exists
- 2 Where he has no family, he may nominate any person
- 3 On the employee's acquiring a family, a nomination in favour of a non-family member **becomes invalid**
- 4 Nomination may be **modified at any time**

This is the same family-restriction principle you met in the EPF Scheme's Paragraph 61, and the reason is the same: **the fund exists to protect dependants**, so the choice is removed while dependants exist and restored when none do.

FORFEITURE - s.4(6). Gratuity may be **wholly or partially forfeited**:

- 1 Where the employee's services have been terminated for **any act, wilful omission or negligence causing DAMAGE, LOSS or DESTRUCTION of the employer's PROPERTY** - the forfeiture is limited to the extent of the damage or loss
- 2 Where the employee's services have been terminated for **RIOTOUS or DISORDERLY conduct or any other act of violence** on his part
- 3 Where the employee's services have been terminated for **any act which constitutes an offence involving MORAL TURPITUDE, committed in the course of his employment**

Three points to hold, because they distinguish gratuity forfeiture from what candidates first assume:

- 1 **The first ground caps the forfeiture at the amount of the loss caused.** So if a worker's negligence caused damage of Rs 50,000 and his gratuity is Rs 6,00,000, only Rs 50,000 may be forfeited - the balance is payable
- 2 **All three grounds require that the services have actually been TERMINATED for that reason.** A worker who committed misconduct but was allowed to retire honourably does not have his gratuity forfeited by way of afterthought
- 3 **The moral-turpitude offence must have been committed IN THE COURSE of his employment.** A personal-life offence unrelated to work does not attract forfeiture, however serious. **This mirrors the "in the course of" test you met under the Employees' Compensation Act**

Termination of service on other grounds - superannuation, retirement, resignation, retrenchment, discharge for reasons short of forfeiture - does **not** deprive the worker of gratuity.

KNOW · MACHINERY, AND TIME LIMITS

PAYMENT. Gratuity must be paid **within 30 DAYS** from the date it becomes payable. Delay attracts **simple interest** at a rate notified by the Central Government (currently in the region of 8-10%, marked CONFIRM), from the date it fell due.

CONTROLLING AUTHORITY - s.3. Every dispute regarding gratuity is decided by a **Controlling Authority** appointed by the appropriate Government. The Controlling Authority:

- 1 Receives applications from claimants and from the employer
- 2 Has certain powers of a civil court (attendance of witnesses, discovery, evidence on affidavit)
- 3 Its proceedings are deemed a **judicial proceeding** for the purposes of the false-evidence provisions of the Penal Code

APPEAL - s.7. An appeal from a Controlling Authority's order lies to the **APPELLATE AUTHORITY** (appointed by the appropriate Government) within **60 DAYS**, extendable by a further **60 days** on sufficient cause = **120 days maximum. This is the same 60+60 = 120 pattern as the EPF appeal**, and it is worth remembering as a pair.

But note the difference: the appeal lies to an Appellate Authority under the Gratuity Act, NOT to the CGIT. Each of the three employer-liability and social-insurance statutes has its own appellate arrangement:

- 1 **Gratuity 1972:** Controlling Authority → Appellate Authority (each appointed by appropriate Government) → High Court under Art 226
- 2 **Employees' Compensation 1923:** Commissioner → High Court on a substantial question of law (s.30)
- 3 **Maternity Benefit 1961:** internal appeals under the Act → High Court under Art 226
- 4 **ESI 1948:** Regional Director → EI Court (s.74)
- 5 **EPF 1952:** 7A officer → CGIT as EPF Appellate Tribunal → High Court under Art 226

Five statutes, five different appellate architectures. The pattern is that each statute has its own tribunal-like body and its own final route to the constitutional court. **Learn them as a set, and any "appellate forum" question in Module 3 becomes a matter of pattern-matching rather than memorisation.**

RECOVERY. Where the employer fails to pay, the Controlling Authority may issue a **certificate to the Collector** for recovery as **arrears of land revenue**, together with **compound interest** at the notified rate. The certificate route is the same enforcement mechanism you know from EPF's s.8, though the specific procedure and interest structure differ.

s.13 - PROTECTION. Gratuity payable under the Act is **NOT LIABLE TO ATTACHMENT** in execution of any decree or order of any civil, revenue or criminal court. **This is the same protective principle as EPF's s.10** - once the law compels the accumulation, it must not be extractable by the worker's creditors, or the compulsion loses its point.

CHECK YOURSELF · SESSION 2

- 1 When must an employee make a nomination? What is the family restriction?
- 2 State the three grounds of forfeiture under s.4(6). Which one is capped at the loss caused?
- 3 Must a moral-turpitude offence have been committed at work?
- 4 Within what period must gratuity be paid? What follows delay?
- 5 Name the two-tier machinery and the appeal period
- 6 Recite the five appellate arrangements of Module 3
- 7 How is gratuity recovered from a defaulting employer?
- 8 What is s.13, and which EPF section does it parallel?

3. Session 3 - The Maternity Outline ★★★★★

The Maternity Benefit Act 1961 was covered in full in F2.8. This session gives you what you need for Module 3, without repeating that treatment.

START FROM ZERO · WHY THIS IS A CROSS-REFERENCE RATHER THAN A CHAPTER

The Maternity Benefit Act sits primarily in **Module 2** because it is a labour statute: it regulates women's employment in the period around childbirth. F2.8 covers **maternity together with child and bonded labour** as the three protective statutes with four constitutional parents - **child = Art 24 + 39(e)(f)**, **maternity = Art 42**, **POSH = Art 14/15/19(1)(g)/21**, **bonded = Art 23**.

But the Act ALSO delivers a cash benefit that meets contingency 7 of Convention 102, so it appears in Module 3 as well. **What Module 3 needs is not a re-explanation - it is the interaction with the ESI Act's maternity benefit, and the reason both cannot be taken at once.**

So this session gives you the numbers, the qualifying period, and the ESI intersection. For the substantive treatment - hazardous processes, night work, creche, the 2017 amendments - go to F2.8.

MUST MASTER · THE NUMBERS FOR MODULE 3

Item	Position
Coverage	10 or more persons employed - same threshold as ESI and Gratuity
Qualifying service	80 days in the 12 months preceding the expected date of delivery
Duration - biological mother	26 weeks (raised from 12 by the 2017 amendment)
- of which pre-natal	Up to 8 weeks may be taken before the expected date of delivery
Duration - biological mother with 2 or more surviving children	12 weeks (6 weeks pre-natal)
Duration - adopting mother / commissioning mother	12 weeks from the date the child is handed over
Wage payable during leave	Full daily wages for the period of the leave, computed on the daily average of the last 3 calendar months of actual work
Medical bonus	Rs 3,500 (may be revised by notification, CONFIRM)
Miscarriage / medical termination	6 weeks of paid leave from the date of miscarriage
Tubectomy	2 weeks of paid leave immediately following the operation
Illness arising from pregnancy	Additional 1 month of paid leave
Creche	Mandatory in every establishment with 50 or more employees
Work-from-home	The employer may permit work-from-home after the 26 weeks are exhausted, if the nature of the work allows
Enforcement	Inspector and the appellate structure under the Act itself; ultimately Art 226 to the High Court

Two of these numbers get most of the exam attention:

- 1 **26 WEEKS**, and it is a common trap that the 26 weeks applies only to the **first two children**; from the third child onwards the entitlement is **12 weeks**. The full 26 weeks is not universal
- 2 **80 DAYS'** qualifying service, distinguishing this Act's cash-benefit test from the ordinary continuous-service tests elsewhere in Module 3

And the coverage-threshold pattern falls into place, since three of the four employer-liability statutes have the same 10:

- 1 **EPF - 20**
- 2 **ESI - 10**
- 3 **Gratuity - 10**
- 4 **Maternity Benefit - 10**
- 5 **Employees' Compensation - 1**

IMPORTANT · ESI INTERSECTION - THE NON-STACKING RULE

Where a woman is **covered by ESI**, her maternity benefit is paid under the **ESI Act at 100% of wages for 26 weeks**, and **NOT under the Maternity Benefit Act**. The two do not stack.

Why. ESI is contributory social insurance, funded by $0.75 + 3.25 = 4\%$ of wages; the Maternity Benefit Act is employer liability, funded by the employer alone. Allowing the woman to draw both would double-count the same event and would allow the employer to escape the cost of ESI membership (which was intended to relieve him of the Maternity Benefit Act obligation for covered workers).

So the rule for a claim officer, and for the paper:

- 1 **Woman covered by ESI** → maternity benefit under **ESI**, 100% for 26 weeks
- 2 **Woman NOT covered by ESI, in a workplace of 10 or more** → maternity benefit under the **1961 Act**, at daily-average wages for 26 weeks
- 3 **Woman in a workplace of fewer than 10** → **PMMVY** conditional cash transfer outside formal employment (F3.9)

A question that asks "under which Act is maternity benefit payable to an ESI-covered woman" has ESI as the correct answer, not the 1961 Act, and the two Acts are structurally mutually exclusive in this respect just as ESI and the 1923 Act are on employment injury.

CHECK YOURSELF · SESSION 3

- 1 Why does maternity primarily belong in Module 2 rather than Module 3?
- 2 State the coverage threshold, qualifying service, and the two duration rules (first two children, third child onwards)
- 3 How is the wage during leave computed?
- 4 State the medical bonus, miscarriage leave, tubectomy leave and illness leave figures
- 5 At what headcount is a creche mandatory?
- 6 Explain the ESI non-stacking rule and give the three-way branching for a maternity claim

4. Session 4 - Employer Liability, Compared ★★★★★

4.1 The four employer-liability statutes as one family

Recall from F3.1 that **employer liability** is one of the four architectures of provision, and the one with **no fund and no pooling**. Module 3 contains **four** employer-liability statutes, and this section ties them together.

Statute	Threshold	Who pays	Central obligation
Employees' Compensation 1923	1 (no threshold)	Employer	Compensation on injury, formula-based
Maternity Benefit 1961	10	Employer	Cash equal to wages for 26-week leave
Payment of Gratuity 1972	10	Employer	15/26 x wages x years, cap Rs 20 lakh
Bonus (Payment of Bonus Act 1965) <i>cf.</i>	20	Employer	8.33% minimum, 20% maximum

MUST MASTER · THE F3.1 DEFECT, AND THE MARKET'S ANSWER

All four statutes suffer from the F3.1 defect: no fund, so the benefit fails if the employer is insolvent. Two mitigations have emerged:

- 1 The Payment of Gratuity Act does have a provision** for compulsory insurance under s.4A, but its full application depends on notification and has been implemented in some States only. Where implemented, employers must take a gratuity insurance policy from LIC or approved insurers, funding the future liability
- 2 In practice, most large employers voluntarily fund gratuity** through a group gratuity assurance or an approved trust, and voluntarily fund maternity through their normal payroll rather than as an unfunded contingent obligation

So the "market fix" the F3.1 introduction predicted is exactly what happened: the statutes did not provide a fund, and the accounting profession and the insurance market between them created one for gratuity in the organised sector. The unorganised sector remains exposed - which is why the Code on Social Security 2020 was intended to bring these workers into a contributory framework.

FROM YOUR OWN WORLD · FOUR UNFUNDED PROMISES ON A BALANCE SHEET

A bank's balance sheet contains several kinds of **contingent liabilities** - promises to pay if certain events occur. Some are funded (like guarantees backed by cash margins), and some are not (like acceptances on bills). The unfunded ones require **capital allocation** because their loss profile could hit the balance sheet on any day.

The four employer-liability statutes each create an unfunded contingent liability of exactly this shape.

- 1 **Gratuity** is the closest analogue: known formula, known trigger (retirement), known population - so actuarially valuable and disclosed in the notes to accounts as a defined-benefit obligation
- 2 **Maternity** is smaller in absolute terms and cyclic across the workforce
- 3 **Employees' Compensation** is the most volatile: rare events but potentially large amounts
- 4 **Bonus** is the most predictable: annual, formula-driven, on all workers earning within the eligibility ceiling

And what a well-run employer does with an unfunded contingent liability is exactly what a well-run bank does: fund it voluntarily. The Insurance Regulatory and Development Authority has approved a range of group products for these purposes - group gratuity, group maternity, workmen's compensation cover, and increasingly gig-worker cover through aggregator platforms. **This is where insurance regulation meets labour law, and it is the market's answer to statutes that did not create funds of their own.**

KNOW · WHERE THE CODE ON SOCIAL SECURITY PLACES THESE

Under the Code on Social Security 2020:

- 1 **Payment of Gratuity** → Chapter V of the Code
- 2 **Maternity Benefit** → Chapter VI of the Code
- 3 **Employees' Compensation** → Chapter VII of the Code
- 4 **EPF** → Chapter III
- 5 **ESI** → Chapter IV
- 6 Unorganised, gig and platform workers → Chapters IX-X

The consolidation rennumbers but preserves the substance, subject to notification. A question asking "under which chapter of the Code" is asking for the chapter number; a question asking "under which Act" is asking for the historic Act. **Answer whichever the stem cites; do not answer both.**

ACTION · WHERE THIS LEAVES YOU, AND WHAT F3.8 DOES

You have now covered all the statutes governing the **organised sector**: EPF, ESI, Employees' Compensation, Gratuity, and Maternity Benefit. Between them they answer six of the nine contingencies, cover the whole formal workforce, and provide the machinery for adjudication and recovery.

F3.8 turns to the OUTSIDE of that machinery - the **UNORGANISED, GIG AND PLATFORM WORKERS** who constitute roughly 90 per cent of India's workforce and whom the contributory system structurally cannot reach. It covers the Unorganised Workers' Social Security Act 2008, the Social Security Code 2020 definitions, the aggregator contribution of 1 to 2 per cent of turnover capped at 5 per cent of payments, e-Shram, UAN, and the redesign of the levy that made this coverage possible.

5. Graded Practice - 40 Questions ★★★★★

5.1 Level 1 - Recognition

Q. 1. The Payment of Gratuity Act was enacted in

(a) 1948 (b) 1961 (c) 1972 (d) 1976

Q. 2. The Act applies to shops and establishments employing

(a) 5 or more persons (b) 10 or more persons (c) 20 or more persons (d) 50 or more persons

Q. 3. The minimum continuous service required for entitlement to gratuity on retirement or resignation is

(a) 3 years (b) 5 years (c) 7 years (d) 10 years

Q. 4. The 5-year condition does not apply where termination is due to

(a) retrenchment (b) resignation (c) death or disablement due to accident or disease (d) discharge for misconduct

Q. 5. In the gratuity formula, the divisor of 26 represents

(a) days in a month (b) the deemed number of working days in a month (c) the number of weeks in a year (d) working hours per day

Q. 6. The gratuity rate is

(a) 7 days' wages per year (b) 15 days' wages per completed year (c) 15 days' wages per 6 months (d) 30 days' wages per year

Q. 7. The statutory maximum gratuity, since the 2018 amendment and 2019 notification, is

(a) Rs 3.5 lakh (b) Rs 10 lakh (c) Rs 15 lakh (d) Rs 20 lakh

Q. 8. "Wages" for the gratuity formula means

(a) basic wages only (b) basic wages plus dearness allowance (c) basic wages, DA, HRA and overtime (d) gross monthly emoluments

Q. 9. Nomination under Section 6 must be made by an employee who has completed

(a) 6 months of service (b) 1 year of service (c) 3 years of service (d) 5 years of service

Q. 10. Payment of gratuity must be made within

(a) 15 days (b) 30 days (c) 45 days (d) 60 days

Q. 11. An appeal from the Controlling Authority lies to

(a) the CGIT (b) the Appellate Authority under the Act, within 60 + 60 days (c) the EI Court (d) the District Court

Q. 12. Gratuity is not liable to attachment under Section

(a) 6 (b) 8 (c) 13 (d) 14

Q. 13. Rounding of service applies where the excess over a completed year is

(a) more than 3 months (b) in excess of 6 months (c) more than 9 months (d) exactly 6 months

Q. 14. The Maternity Benefit Act was enacted in

(a) 1948 (b) 1961 (c) 1972 (d) 2005

Q. 15. Maternity leave for a woman with fewer than two surviving children is

(a) 12 weeks (b) 16 weeks (c) 20 weeks (d) 26 weeks

Q. 16. Maternity leave for a woman with two or more surviving children is

(a) 12 weeks (b) 16 weeks (c) 20 weeks (d) 26 weeks

Q. 17. The qualifying period of service for maternity benefit is

(a) 60 days (b) 78 days (c) 80 days (d) 90 days

Q. 18. A creche is mandatory under the Maternity Benefit Act at

(a) 30 women employees (b) 40 women employees (c) 50 employees (d) 100 employees

5.2 Level 2 - Understanding

Q. 19. A worker dies in his second year of employment. His nominee's entitlement to gratuity is

(a) nil, the 5-year rule not being satisfied (b) full statutory gratuity, the 5-year rule being disappplied for death and disablement (c) half the statutory gratuity (d) at the employer's discretion

Q. 20. A fixed-term employee is entitled to gratuity

(a) only after 5 years (b) on completion of one year of service, prorated (c) never (d) on the expiry of the fixed term regardless of duration

Q. 21. Which one of the following is included in "wages" for the gratuity formula?

(a) House rent allowance (b) Overtime (c) Dearness allowance (d) Annual bonus

Q. 22. The maximum gratuity was raised in

(a) 2010 (b) 2014 (c) 2018-19 (d) 2020

Q. 23. A worker's basic Rs 30,000 + DA Rs 10,000 with 15 years of completed service. His gratuity is

(a) Rs 3,46,154 (b) Rs 4,00,000 (c) Rs 2,30,769 (d) Rs 5,76,923

Q. 24. Forfeiture of gratuity for damage or loss to the employer's property is

(a) unlimited (b) limited to the extent of the damage or loss caused (c) fixed at 50% of the gratuity (d) fixed at Rs 1 lakh

Q. 25. Forfeiture of gratuity requires that the services of the employee have been

(a) transferred (b) terminated for the misconduct in question (c) suspended (d) merely warned

Q. 26. Where the employee committed a moral-turpitude offence outside work, gratuity may be forfeited

(a) always (b) only where the offence was committed in the course of employment (c) only where the sentence exceeds 6 months (d) only on a court's direction

Q. 27. Delay in payment of gratuity beyond the statutory 30 days attracts

(a) no consequence (b) simple interest at the rate notified by the Central Government (c) automatic doubling (d) criminal prosecution

Q. 28. In a workplace of 12 employees, a woman worker qualifying for maternity benefit and NOT covered by ESI is entitled to benefit under the

(a) ESI Act (b) Maternity Benefit Act 1961 (c) neither Act (d) Employees' Compensation Act

Q. 29. In a workplace where the woman IS covered by ESI, her maternity benefit is paid under the

(a) Maternity Benefit Act 1961 (b) ESI Act, at 100% of wages for 26 weeks (c) both Acts, stacking (d) Employees' Compensation Act

Q. 30. In a workplace of 5 employees, a woman worker's maternity support (if any) is delivered through

(a) the ESI Act (b) the Maternity Benefit Act 1961 (c) PMMVY conditional cash transfer outside formal employment (d) the Payment of Gratuity Act

Q. 31. Nomination under Section 6 of the Gratuity Act in favour of a non-family member is

(a) valid at the employee's option (b) valid until the employee acquires a family, whereupon it becomes invalid (c) always valid (d) valid only for the excluded categories

Q. 32. The reason large employers commonly BUY a group gratuity policy from LIC is that

(a) it is compulsory in all States (b) gratuity is a defined-benefit obligation that appears as an unfunded liability on the balance sheet unless voluntarily funded (c) it reduces the statutory maximum (d) it removes the 5-year condition

5.3 Level 3 - Recruitment Test standard

Q. 33. A worker retires after 32 years and 4 months of continuous service with last-drawn basic wages of Rs 60,000 and DA of Rs 20,000. His gratuity is

(a) Rs 14,76,923 (b) Rs 15,23,077 (c) Rs 20,00,000, the statutory maximum (d) Rs 12,00,000

Q. 34. A worker retires after 25 years and 6 months. The "6 months" is

(a) rounded up to a completed year (b) treated as half a year in the formula (c) ignored, because it is not in excess of six months (d) treated as a completed year only for a seasonal establishment

Q. 35. Consider the following statements:

- 1 Gratuity is a long-service terminal payment rather than insurance against a contingency.
- 2 Gratuity answers none of the ILO's nine contingencies in the strict sense.
- 3 The Code on Social Security 2020 nevertheless consolidates the Payment of Gratuity Act.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 36. Consider the following statements about the three grounds of forfeiture under Section 4(6):

- 1 The damage-or-loss forfeiture is capped at the extent of the damage caused.
- 2 Riotous or disorderly conduct is a stand-alone ground.
- 3 A moral-turpitude offence must have been committed in the course of employment.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 37. Match List-I with List-II and select the correct answer using the code below:

List-I (Statute)	List-II (Appellate route)
A. EPF Act	1. Commissioner → High Court, s.30
B. Employees' Compensation Act	2. 7A officer → CGIT → Art 226
C. Gratuity Act	3. Regional Director → EI Court
D. ESI Act	4. Controlling Authority → Appellate Authority → Art 226

(a) A-2 B-1 C-4 D-3 (b) A-2 B-4 C-1 D-3 (c) A-1 B-2 C-3 D-4 (d) A-2 B-1 C-3 D-4

Q. 38. Which one of the following is not correctly matched?

(a) Employees' Compensation - threshold 1 (b) ESI - threshold 10 (c) EPF - threshold 20 (d) Gratuity - threshold 20

Q. 39. The rule that gratuity is not attachable in execution of a decree parallels the EPF Act's

(a) Section 7A (b) Section 10 (c) Section 11 (d) Section 14B

Q. 40. A woman worker is in a workplace of 15 employees and is NOT covered by ESI. On qualifying for maternity benefit she is entitled to

(a) 12 weeks under the Maternity Benefit Act (b) 26 weeks under the Maternity Benefit Act, at full wages computed on the daily average of the last 3 calendar months of actual work (c) 26 weeks under the ESI Act, at 100 per cent (d) PMMVY only

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	c	1972
2	b	10 or more persons
3	b	5 years of continuous service
4	c	Death or disablement - the 5-year rule is disappplied
5	b	The deemed number of working days in a month (312 working days per year on a 6-day week, divided by 12)
6	b	15 days' wages per completed year
7	d	Rs 20 lakh , raised from Rs 10 lakh
8	b	Basic wages plus DA only - not HRA, overtime, bonus or commission
9	b	1 year of service
10	b	30 days
11	b	Appellate Authority under the Act , 60 + 60 = 120 days maximum
12	c	Section 13 - the anti-attachment protection
13	b	In excess of 6 months - so exactly 6 months does not round up
14	b	1961
15	d	26 weeks - since the 2017 amendment

Q	Ans	Explanation
16	a	12 weeks for the third and subsequent children
17	c	80 days in the preceding 12 months
18	c	50 employees , since the 2017 amendment - the trigger changed from 30 women to 50 employees

6.2 Level 2

Q	Ans	Explanation
19	b	Full statutory gratuity , the 5-year vesting rule being disappplied for death and disablement. Contrast with the EPS 10-year vesting, which is similarly disappplied for the disablement pension
20	b	One year, prorated - the special deal for fixed-term employees introduced by the IR Code, taught in F2.4
21	c	Dearness allowance only. HRA, overtime and bonus are excluded
22	c	2018-19 - the amending Act of 2018 and the executive notification of 2019
23	a	Wages last drawn = Rs 40,000 (basic + DA). Formula: $(40,000/26) \times 15 \times 15 = 1,538.46 \times 15 \times 15 = \text{Rs } 3,46,154$. Option (b) rounds; (c) omits DA; (d) uses 25 years
24	b	Limited to the extent of damage or loss . This is the only capped ground of the three
25	b	Terminated for the misconduct . Retirement or resignation does not attract forfeiture as an afterthought
26	b	Only in the course of employment . Personal offences are outside the Act's forfeiture grounds
27	b	Simple interest at the notified rate
28	b	Maternity Benefit Act 1961 . She meets the 10-employee threshold and is outside ESI
29	b	ESI Act , at 100% for 26 weeks - the two Acts do not stack
30	c	PMMVY conditional cash transfer, since the workplace is below the 10-employee threshold and no statute applies
31	b	Valid until the employee acquires a family , whereupon it becomes invalid. Same principle as EPF Paragraph 61
32	b	Defined-benefit unfunded obligation - actuarially valued and disclosed in the notes to accounts, so voluntarily funded to remove the balance-sheet exposure

6.3 Level 3

Q	Ans	Explanation
33	a	Wages last drawn = Rs 80,000 (basic + DA). Service is 32 years 4 months; 4 months does NOT round up (it is not in excess of 6), so years = 32 . Formula: $(80,000/26) \times 15 \times 32 = \text{Rs } 14,76,923$. This is BELOW the Rs 20 lakh maximum, so option (c) is a distractor - the cap does NOT bite here . Option (d) is round-figure guessing
34	c	Ignored - the rule requires the excess to be in excess of six months, so exactly six does not round up. Same convention as retrenchment compensation under the ID Act
35	d	All three correct. This is exactly the F3.1 point about the ILO's nine contingencies: gratuity answers none of them, but the Code consolidates it anyway
36	d	All three correct. Only the first ground is capped at the loss caused; the other two are stand-alone grounds; and moral turpitude must be committed at work
37	b	A-2 EPF: 7A → CGIT → Art 226; B-1 EC: Commissioner → HC s.30; C-4 Gratuity: Controlling Authority → Appellate Authority → Art 226; D-3 ESI: Regional Director → EI Court
38	d	(d) is wrong. Gratuity threshold is 10, not 20 . EPF is 20; ESI, Gratuity and Maternity all at 10
39	b	Section 10 of the EPF Act - both provide protection against attachment, and for the same policy reason: the compulsion loses its point if creditors can extract what the law required the worker to save
40	b	26 weeks under the Maternity Benefit Act. Not the ESI Act because she is not covered; not PMMVY because the workplace is above 10 employees; not 12 weeks because she has fewer than two surviving children (the stem does not say otherwise, so the default 26 applies)

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.7 - GRATUITY AND MATERNITY

WHY GRATUITY IS IN MODULE 3 it answers **NONE** of the ILO's nine contingencies in the strict sense - it is a **long-service TERMINAL payment**, not insurance against a contingency · but the **Code on Social Security 2020 CONSOLIDATED** it (Chapter V), and the **F3.1 employer-liability defect applies** - no fund, so it fails on employer insolvency unless voluntarily funded · in practice most large employers buy a **GROUP GRATUITY POLICY** or run an **approved trust**, precisely because gratuity is a **defined-benefit unfunded obligation on the balance sheet**

GRATUITY - COVERAGE every factory, mine, oilfield, plantation, port, railway · **shops and establishments at 10 or more** · **ONCE COVERED, ALWAYS COVERED** · threshold pattern **EPF 20** · **ESI 10** · **Gratuity 10** · **Maternity 10** · **Employees' Compensation 1**

s.4 - THE 5-YEAR RULE required on superannuation, retirement or resignation · **NOT REQUIRED for DEATH OR DISABLEMENT due to accident or disease** - the same disapplication principle as EPS's 10-year rule for disablement pension · **fixed-term employees entitled on ONE YEAR, prorated** (F2.4)

THE FORMULA Gratuity = (last drawn monthly wages / 26) x 15 x completed years · 26 = **deemed working days in a month** (312 working days / 12), **15 = 15 days' wages per year** · **wages = BASIC + DA ONLY** - HRA, overtime, bonus, commission all excluded (same shape as EPF s.2(b)) · **rounding: "in excess of six months" rounds UP - so 22 yrs 8 months = 23, 22 yrs 6 months = 22** (same convention as retrenchment under the ID Act) · **seasonal establishment: 7 DAYS' WAGES per season**

THE MAXIMUM Rs 20 LAKH since the 2018 amendment / 2019 notification (raised from Rs 10 lakh) · higher payment permitted under contract or award - the maximum is the **Act's protective ceiling**, not a bar on employer generosity

WORKED basic 40,000 + DA 10,000, 22 yrs 8 months (rounds UP to 23) → $(50,000/26) \times 15 \times 23 = \text{Rs } 6,63,462$ · basic 60,000 + DA 20,000, 32 yrs 4 months (does NOT round up, stays 32) → $(80,000/26) \times 15 \times 32 = \text{Rs } 14,76,923$ (below Rs 20 L cap)

s.6 NOMINATION required after **1 year** of service · **with a family, only a family member** (Para 61 EPF principle) · invalid on acquiring a family if non-family · modifiable at any time

s.4(6) FORFEITURE three grounds, all requiring the services to have been **TERMINATED** for the misconduct:

- 1 **damage or loss to employer's property - CAPPED at the extent of the loss**
- 2 **riotous, disorderly, or violent conduct** - stand-alone ground
- 3 **moral-turpitude offence committed IN THE COURSE OF EMPLOYMENT** - not personal-life offences

MACHINERY payment within 30 DAYS · delay attracts **simple interest** at notified rate ·

CONTROLLING AUTHORITY (s.3) decides disputes, has CPC powers, proceeding deemed judicial ·

APPEAL: Appellate Authority under s.7 in 60 + 60 = 120 days (same pattern as EPF, but to a different body) · recovery as **arrears of land revenue** via certificate to the Collector, with **compound interest** · **s.13 - NOT LIABLE TO ATTACHMENT** (parallel to EPF s.10)

FIVE APPELLATE ARCHITECTURES OF MODULE 3 learn as a set:

- 1 **EPF: 7A officer → CGIT (as EPF Appellate Tribunal) → HC under Art 226**
- 2 **ESI: Regional Director → EI Court (s.74)**
- 3 **Employees' Compensation: Commissioner → HC on a substantial question of law (s.30)**
- 4 **Gratuity: Controlling Authority → Appellate Authority → HC under Art 226**
- 5 **Maternity Benefit: Inspector and internal appeals → HC under Art 226**

MATERNITY OUTLINE (F2.8 covers it fully) coverage 10 · qualifying 80 DAYS in the preceding 12 months · 26 WEEKS for a woman with fewer than 2 surviving children, 12 WEEKS for 2 or more · 8 weeks pre-natal permitted · 12 weeks for adopting / commissioning mother · wages = daily average of last 3 calendar months of actual work · medical bonus Rs 3,500 (CONFIRM) · miscarriage 6 weeks · tubectomy 2 weeks · illness from pregnancy +1 month · CRECHE MANDATORY AT 50 EMPLOYEES (raised from 30 women, 2017)

ESI NON-STACKING ESI-covered woman → **ESI Act, 100% for 26 weeks** · not ESI-covered, workplace ≥ 10 → **1961 Act, daily-average wages for 26 weeks** · workplace < 10 → **PMMVY conditional cash transfer** · the two Acts do NOT stack - same structural exclusivity as ESI and the 1923 Act on injury

FOUR EMPLOYER-LIABILITY STATUTES compared all suffer the F3.1 defect (no fund), all consolidated in the Code:

- 1 Employees' Compensation (Ch VII of Code, threshold 1)
- 2 Maternity Benefit (Ch VI, threshold 10)
- 3 Gratuity (Ch V, threshold 10)
- 4 *and for comparison* Bonus (threshold 20) · **the market voluntarily funds gratuity because it is a defined-benefit obligation on the balance sheet**

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.7 - GRATUITY AND MATERNITY

GRATUITY = long-service **TERMINAL** payment · answers **NONE** of the 9 contingencies

THRESHOLD 10 · once covered, always covered

5-YEAR RULE · **DISAPPLIED** for **DEATH OR DISABLEMENT** · fixed-term = 1 yr prorated

Formula: $(\text{wages} / 26) \times 15 \times \text{completed years}$ · wages = **BASIC + DA ONLY**

"In excess of 6 months" rounds **UP** · exactly 6 months does **NOT**

MAXIMUM Rs 20 LAKH (2018-19) · higher payment allowed under contract

Seasonal establishment: **7 DAYS'** wages per season

NOMINATION after 1 year · family-only rule (Para 61 EPF principle)

FORFEITURE (s.4(6)): damage (**CAPPED**) · riotous conduct · moral turpitude **IN THE COURSE**

Payment **30 DAYS** · delay = simple interest

CONTROLLING AUTHORITY → **APPELLATE AUTHORITY** ($60 + 60 = 120$)

s.13 = **NO ATTACHMENT** · same principle as EPF s.10

FIVE APPELLATE ROUTES:

1 **EPF: 7A** → **CGIT** → **Art 226**

2 **ESI: RD** → **EI Court**

3 **EC: Commissioner** → **HC s.30**

4 **Gratuity: CA** → **AA** → **Art 226**

5 **Maternity: Inspector** → **HC Art 226**

MATERNITY (F2.8): threshold **10** · qualifying **80 DAYS** · **26 weeks** (< 2 kids) / **12 weeks** (≥ 2 kids)

Adopting / commissioning: 12 weeks · **miscarriage 6 wks** · **tubectomy 2 wks** · **illness +1 month**

CRECHE MANDATORY AT 50 EMPLOYEES

ESI-covered → **ESI 100%** for 26 wks · **NOT ESI**, threshold met → **1961 Act** · below threshold → **PMMVY**

Both Acts DO NOT STACK — same structural exclusivity as ESI vs 1923 Act

CODE 2020: EPF Ch III · **ESI Ch IV** · **Gratuity Ch V** · **Maternity Ch VI** · **EC Ch VII**